

Outlook

From	leanne.adams@model.risk.keystonebank.co.za
To	analytics.retail@keystonebank.co.za, collections.ops@keystonebank.co.za
Cc	credit.risk.retail@keystonebank.co.za, compliance.retail@keystonebank.co.za
Sent	Fri, 03 Dec 2021 08:38:00 -0000

Validate the treatment strategy, not only the risk rank

Morning,

I need help with something that sounds simple but probably is not.

Collections wants a prioritisation model, but validation must separate default risk from the effect of different contact strategies. Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population. There are enough data exceptions to make a polished average dangerous; preserve the unresolved cases.

The questions I would ask in the room are:

1. What would we expect to see if high-risk customers need tailored arrangements rather than more attempts?
2. What evidence would instead support that some customers self-cure without intervention?
3. How do we rule out that contact channel changes promise-kept rates?

We looked at a version of this before. For the December 2021 review, please show what changed and whether the earlier conclusion still holds. Please work towards whether a model can support treatment allocation and what experiment is needed next. A useful output would be a working Excel file with the exception population and clear columns.

Use collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions; transaction-level timestamps, channels, amounts, statuses and error context; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields. One caution: Observational data cannot prove treatment causality; recommend a controlled test where appropriate.

Regards